25NNCV05855 25NNCV05855

County: los-angeles

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Case Number: 25NNCV05855 Hearing Date: August 14, 2026 Dept: B

Hon. Victor Avila, Dept B

Motion for Judgment on the Pleadings

Hearing Date: 8/14/26

CASE NO.: 25NNCV05855

CASE NAME: Southern California Gas Co. vs Los Angeles Turf Club Inc., et al.

Moving Party: Defendants Los Angeles Turf Club Inc. and Santa Anita Holdings, LLC

Responding Party: Plaintiff Southern California Gas Co.

Notice: Sufficient

Ruling: GRANT.

BACKGROUND

This is a gas leak dispute case. Plaintiff Southern California Gas Company (Plaintiff) is the primary provider of natural gas to the Southern California area, including Santa Anita Park in Arcadia, which is owned by defendant Santa Anita Holdings, LLC and operated by defendant Los Angeles Turf Club Inc. (collectively, Defendants). Around March 26, 2024, Plaintiff allegedly discovered a gas leak on Defendants' property, notified Defendants, and repaired it. Plaintiff claims Defendants are responsible for the costs of repair.

On January 21, 2026, Plaintiff filed a First Amended Complaint alleging (1) quantum meruit, (2) unjust enrichment, and (3) negligence.

On June 12, 2026, Defendants filed the instant motion seeking judgment on the pleadings as to the third cause of action for negligence. On August 3, 2026, Plaintiff filed an opposition. On August 7, 2026, Defendant filed a reply.

REQUEST
FOR JUDICIAL NOTICE

Plaintiff requests judicial notice of Exhibits: (A) Code of Federal Regulations, 49 CFR 192.615, and (B) California Public Utilities Commission General Order No. 112-F.

Exhibit A is a legislative enactment, and Exhibit B contains regulations of the utilities commission which is a public entity of the State of California. The request is granted. (Evid. Code, § 452(b).)

LEGAL
STANDARD

A motion for judgment on the pleadings is the functional equivalent of a general demurrer. (American Airlines, Inc. v. County of San Mateo (1996) 12 Cal.4th 1110, 1118.) A general demurrer does not lie as to a portion of a cause of action, and if any part of a cause of action is properly pleaded, the [motion] will be overruled. (Campbell v. Genshlea (1919) 180 Cal. 213, 217.) In considering a motion for judgment on the pleadings, the court will look to "the face of the challenged pleading or from any matter of which the court is required to take judicial notice". (Code Civ. Proc., § 438.)

"Before filing a motion for judgment on the pleadings pursuant to this chapter, the moving party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to the motion for judgment on the pleadings for the purpose of determining if an agreement can be reached that resolves the claims to be raised in the motion for judgment on the pleadings.” (Code Civ. Proc., § 439(a).)

DISCUSSION

Defendants bring this motion on the grounds that the Third Cause of Action, which alleges negligence, is barred as a matter of law under the economic loss doctrine.

Meet and Confer

Defendants declare that they have met and conferred with Plaintiff’s counsel via telephone on May 18, 2026. (Brown Decl., ¶ 4.) Plaintiff does not dispute this in their opposition.

Accordingly, the parties have met and conferred.

Negligence

In order to state a claim for negligence, Plaintiff must allege the elements of (1) “the existence of a legal duty of care,” (2) “breach of that duty,” and (3) “proximate cause resulting in an injury.” (McIntyre v. Colonies-Pacific, LLC (2014) 228 Cal.App.4th 664, 671.)

In general, there is no recovery in tort for negligently inflicted “purely economic losses,” meaning financial harm unaccompanied by physical or property damage. (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922.)

Defendants argue that Plaintiff’s negligence claim is barred by the economic loss doctrine. (Mot., 1.) Further, Defendants argue that Plaintiff suffered no bodily injury or property damage and, although there is an exception to the economic loss doctrine where a “special relationship” exists between the parties, that doesn’t exist here. (Ibid.)

In

opposition, Plaintiff argues that the economic loss rule is inapplicable because Plaintiff seeks recovery of mandatory emergency response and hazard abatement costs, not commercial economic loss. (Opp., p. 2.) Alternatively, Plaintiff argues that a special relationship does exist between the parties, satisfying an exception to the economic loss rule. (Opp., pp. 2-3.) Plaintiff argues that they are the intended beneficiary of Defendant's obligation to inspect, maintain, and repair the subject gas lines to prevent leaks and ensure safety. (Opp., p. 3.)

In

reply, Defendants argue that Plaintiff's assertion that the economic loss rule does not apply because the action is for mandatory emergency response and hazard abatement costs" is incorrect. (Reply, p. 2.) Further, Defendants argue that Plaintiff cannot establish a "special relationship" in which they were the intended beneficiary because there is no underlying transaction alleged which imposes a duty on Defendants. (Reply, p. 3.) Defendants also argue that Plaintiff does not provide support for the allegation that safety requirements applying to gas facilities were intended to benefit gas utility companies. (Ibid.)

It

is established law that no recovery exists in tort for purely economic losses. (Sheen, supra, 12 Cal.5th at 922.) Here, Plaintiff claims only monetary losses in their negligence claim. (FAC, ¶ 46.) "The primary exception to the general rule of no-recovery for negligently inflicted purely economic losses is where the plaintiff and the defendant have a "special relationship" …[w]hat we mean by special relationship is that the plaintiff was an intended beneficiary of a particular transaction but was harmed by the defendant's negligence in carrying it out." (Southern California Gas Leak Cases (2019) 7 Cal.5th 391, 400.) The pleadings allege that Plaintiff is "legally and statutorily obligated to respond to gas leaks" but does not contain facts which allege a special relationship existed between the parties where Plaintiff was the intended beneficiary of a particular transaction. (FAC, ¶ 37.) Thus, Plaintiff alleges only economic loss and does not plead a special relationship establishing an exception to the rule.

Accordingly,

Plaintiff's negligence claim is barred by the economic loss doctrine and Defendant's motion for judgment on the pleadings as to the third cause of action for negligence is GRANTED with leave to amend.

CONCLUSION
AND ORDER

Defendants’ Motion for Judgment on the
Pleadings is GRANTED with leave to amend.

MOVING PARTY is to give notice and provide
a proposed order consistent with this ruling within 5 days from this date.